Australia’s Trade in Goods Account, March

#trade #australia

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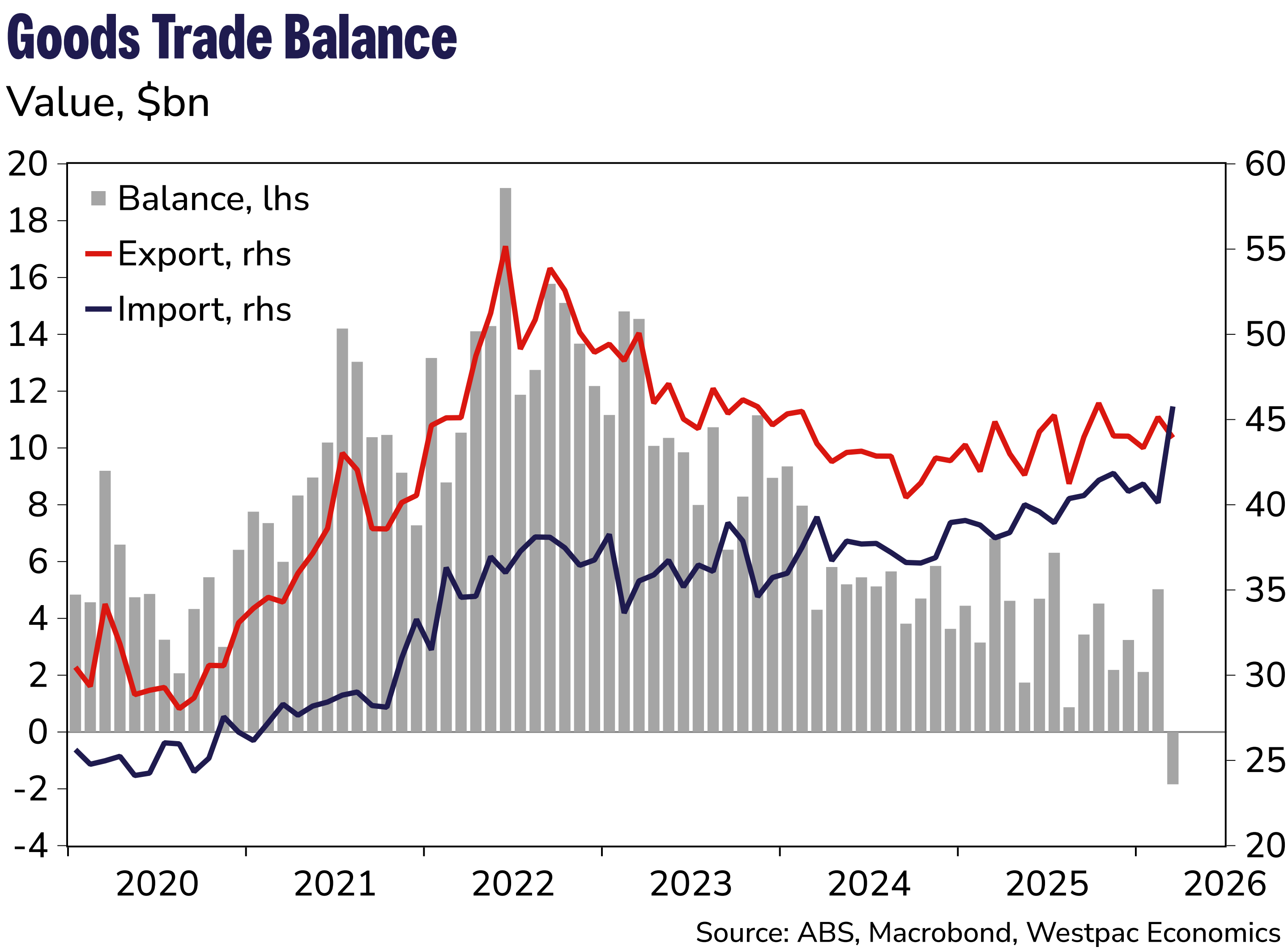
Australia’s monthly goods trade balance fell into a deficit for the first time since 2017, driven by a combination of higher costs for fuel imports, continued volatility in gold trade, and most surprisingly, a truly remarkable surge in imports for data processing machines associated with AI. Trade balance: –$1.8bn. Export values: –2.7%mth. Import values: +14.1%mth.

March’s goods trade data surprised on many fronts. The headline balance collapsed from a surplus of $5.0bn in February to a deficit of –$1.8bn March, marking the first monthly goods trade deficit since December 2017. Higher fuel costs stemming from the Middle East conflict was an important driver, but it was not the only factor at play. Most surprisingly, there was a truly remarkable surge in imports for data processing machines, often associated with the AI. Continued volatility in gold on both sides of the ledger were also a factor, alongside lower export earnings.



Exports

Export earnings disappointed in March, falling –2.7%. An important driver of this was a broad-based pull-back in rural goods exports (–11.6%) from a solid showing in February. This latest move looks to be largely volume-driven based on other sources of price data. Rural goods exports have been more volatile month-to-month, but it is operating around a solid trend that has broadly supported export earnings of late.

However, the fact that non-rural goods did not provide any material offset to this was surprising, barely eking out a gain in the month (0.3%). Across our ‘Big 3’ commodity exports: coal dropped –1.8%, metal ores and minerals (i.e. iron ore) fell –1.4%, while the lift in other mineral fuels (i.e. LNG) was underwhelming (+4.6%).

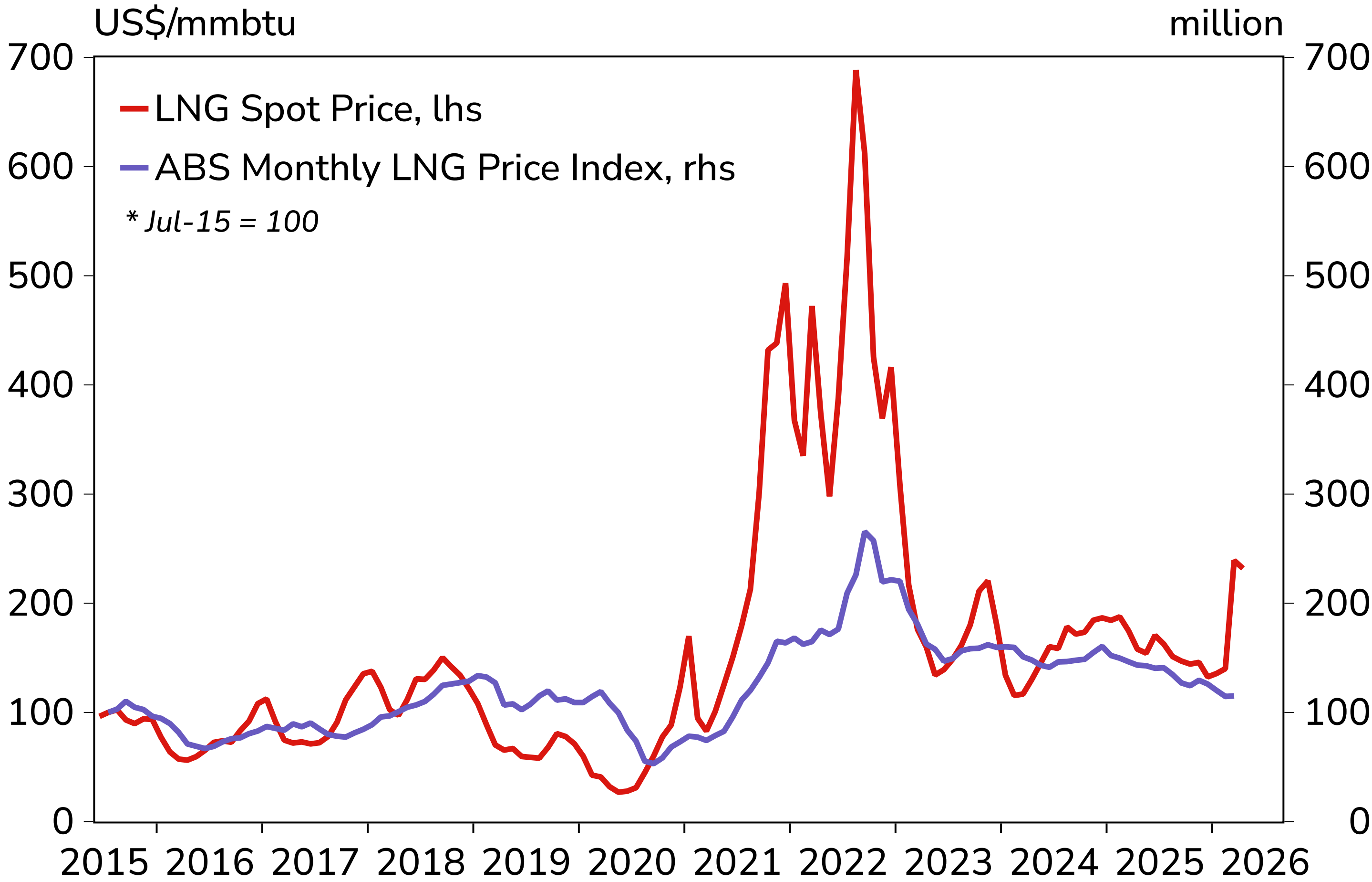
Additional data provided by the ABS on prices and volumes for these commodities revealed some important nuances.

For LNG, export volumes lifted broadly in line with seasonal patterns in March, and interestingly, prices received was virtually flat in the month (+0.3%). Compared to this time last year, this export price index is –18.7% lower, given the broad decline in prices over 2025. This is a stark contrast to what we are observing in the LNG spot market, where prices have lifted notably since the onset of the Middle East shock.

That said, it is important to note that it typically takes a couple of months for changes in spot prices to feed through to the reported export prices in ABS trade data. The rate at which this can occur also depends on some extent to the scale of the move in prices. For example, while LNG spot prices lifted notably in March, it is nowhere near the extent of the 2022 Russia-Ukraine shock, which saw a relatively faster pass-through into export prices. Ultimately, while a significant lift to export earnings from LNG was not immediately apparent in the March data, it is reasonable to assume that we will see some increase over the coming months.

Meanwhile for iron ore, there was a seasonal lift in both export volumes and prices but it was fairly underwhelming compared to previous years. It was a similar story for coal export volumes too, although prices had a stronger showing in the month. Big swings in gold exports continue to add a layer of volatility – this time, contributing to the decline in export earnings with a –6.1% fall this month. This follow an extraordinary 42% surge over January and February, however.

LNG Prices



Source: ABS, Macrobond, Westpac Economics

Imports

The drop in export earnings was compounded by a surge in the import bill, climbing 14.1% in March, the largest monthly gain in over three years. Before discussing the story around fuel imports, though, it is important to mention that the bulk of this move came down to one line item: automatic data processing machines (ADP), which exploded a whopping $2.9bn in March alone, a 300% increase. This likely captures many of the hardware components associated with AI, such as NVIDIA chips that can fetch US$30-50k each. We had been consistently highlighting the strong uptrend in ADP imports over 2025 for this reason, but we are still puzzled at the sheer scale of the surge in March. This may well be a robust signal of the AI investment drive taking place on Australian shores, even if there is some noise in the mix.

Meanwhile, there was also 37.4% surge in petroleum product imports in March, reflecting higher global prices since the onset of the Middle East conflict. The ABS provided additional detail on the prices and volumes of refined petroleum imports in March:

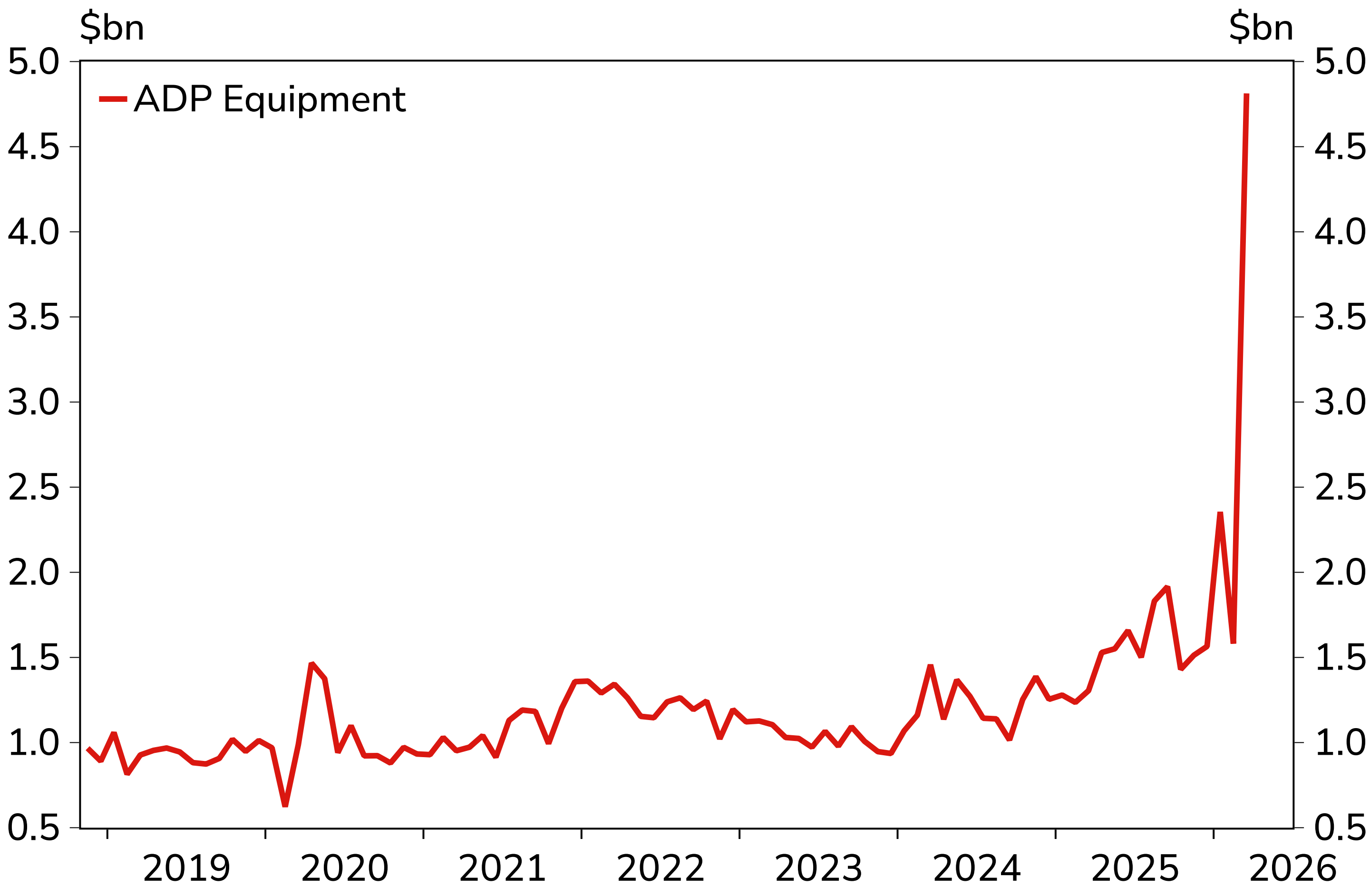
- Gasoline import prices rose 20.6%, and volumes imported rose 18.8%.
- Diesel import prices rose 42.2% and volumes imported fell –11.6%.

- Jet fuel import prices rose 42.7, and volumes imported fell –6.9%.

We are likely to continue seeing extreme volatility on this front over the coming months, as both prices fluctuate due to the conflict and volumes shift as authorities aimed to secure inventory. There is likely some lag in this data too.

Prices of and volumes for crude (unrefined) petroleum imports also bounced higher in the month but given its much smaller share in the energy import mix, it didn't have as much of an impact in aggregate, given we mostly import already refined fuel products. Extreme volatility in gold remains an important driver too, with import values for this commodity jumping 35% higher in March adding to the import bill. Consumption goods imports rose 1.2% in March, building on February's lift.

ADP Equipment Imports



Source: ABS, Macrobond, Westpac Economics

Overall, monthly data suggests that the nominal goods trade balance has narrowed by around $4.6bn, from $9.9bn in Q4 to $5.3bn in Q1, driven predominately by a surge in imports, but also a weaker showing in exports. This provides a gauge on what to expect for the official reading on Australia's current account balance as far as the goods side is concerned – the main uncertainty, though, is the *services* balance, for which there are fewer current indicators to draw from. Additionally, large monthly swings has also made it difficult to pin-point just how much of the nominal goods trade data is simply due to price effects rather than real volumes.

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